Sales update · Consumer staples

Nestlé Q3 2026: volumes are back, Russia exit buys clarity

22 October 2026 · Syz Research

> **"This gives me confidence that we are on the right path. I am pleased with our progress, but I am not satisfied."**
>
> Philipp Navratil, CEO

Key takeaways

Beat Organic growth of 4.0% beat the 3.4% consensus; volume and mix added 2.8%, nearly double expectations.

Watch Pricing slowed to 1.1% vs. 1.9% expected, and Waters (+12.3%) flatters a business Nestlé is exiting.

Russia Russia deconsolidated from end September: about 2% of sales, 3–4% of profit, CHF 0.9bn more net debt.

Valuation 19.1x forward earnings, 3% below the 2006 to 2026 average, after a 12% rally in two weeks.

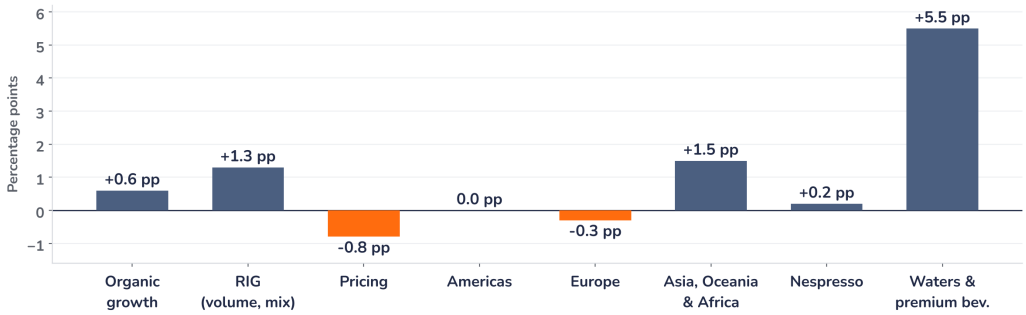
Organic growth	Real internal growth	Pricing	FY26 organic growth guide
4.0%	**2.8%**	**1.1%**	**3–4%**
+0.6 pp vs. consensus	+1.3 pp vs. consensus	–0.8 pp vs. consensus	Confirmed, consensus 3.5%

Volume-led growth is the turnaround the market wanted

The investment case on Nestlé rests on one question: can the group grow by selling more, not only by charging more? This quarter gives the clearest answer since the turnaround began. Real internal growth, the volume and mix component, contributed 2.8 points of the 4.0% organic growth, while pricing eased to 1.1%. Growth driven by volumes is of better quality: it rebuilds market share and protects margins as cost inflation fades. The 3% to 4% full-year target is confirmed.

Chart 1 · NESN: Q3 2026 organic growth vs. consensus

Reported minus consensus, pp · group: company-compiled consensus · divisions: StreetAccount · other businesses not shown



Asia, Oceania and Africa (+6.4%, 1.5 points above consensus) and Waters and premium beverages (+12.3%, 5.5 points above) did the heavy lifting, the Americas were in line and Europe slightly short at 1.2%. Waters is moving into a joint venture, so part of the surprise will not stay with Nestlé. Analyst estimates suggest that, excluding it, volume growth was still clearly ahead.

Base case and implications

Our base case is a gradual recovery: organic growth of about 3.5% this year, with volumes doing more of the work into 2027 and pricing settling between 1% and 2%. The Russia exit removes about 2% of sales and 3% to 4% of operating profit and free cash flow, a modest cut to earnings, and adds about CHF 0.9bn to year-end net debt. At 19.1 times forward earnings, slightly below its 20-year average, the shares do not price a full recovery. We keep Nestlé as a core defensive holding and would add on weakness rather than chase the 12% rise of the past two weeks.

What would strengthen our view

Volume growth above 2% again in the fourth quarter without help from Waters; pricing stabilising around 1.5%; full-year organic growth in the upper half of the 3% to 4% range at the results in early 2027.

What would change our view

Volume growth falling back below 1% once Waters leaves the perimeter; pricing turning negative in Europe; consensus earnings cuts for Russia larger than 4%; full-year organic growth at or below 3%, the bottom of the range.

Beyond the key takeaways

Results: volumes carried the quarter, price stepped back

Group organic growth of 4.0% compares with 3.4% expected and lifts the nine-month figure to 3.7%, with real internal growth of 1.9% and pricing of 1.8% over nine months. The composition shifted markedly in the third quarter: real internal growth of 2.8% was 1.3 points above consensus, while pricing of 1.1% was 0.8 points short. We read the softer pricing as the counterpart of the volume recovery: price increases are being moderated to win back shoppers, a trade-off we accept while volumes respond. Analysts point to the issues that weighed on the second quarter coming good, which supports the view that the improvement is not a one-off.

By division, Asia, Oceania and Africa grew 6.4% against 4.9% expected and was the strongest zone, the clearest sign that demand is broadening. The Americas grew 3.3%, exactly in line, and Europe 1.2%, 0.3 points below. Nespresso grew 2.5% against 2.3%. Waters and premium beverages grew 12.3% against 6.8%, but the business is being transferred into a joint venture and will leave the organic base, so we strip it from the read. The deconsolidation of Russia takes effect from the end of September and therefore has no impact on the reported quarter.

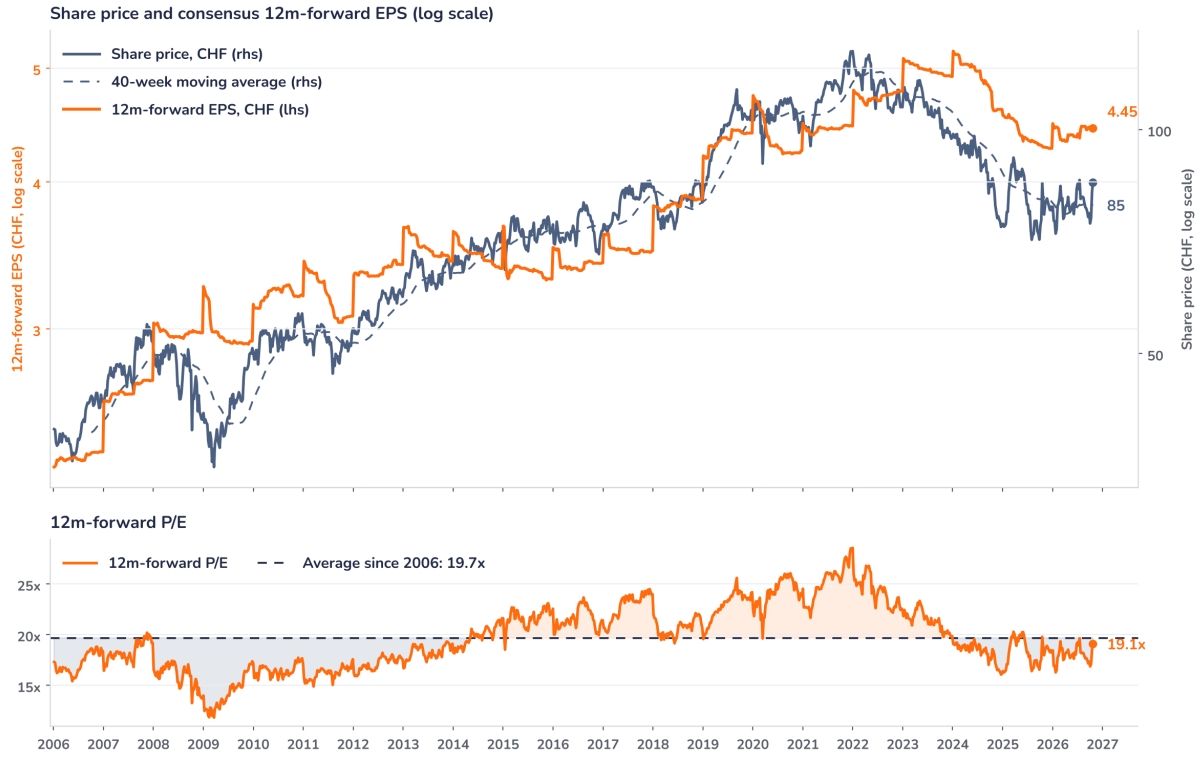
Outlook: guidance held, Russia resets the base

Nestlé confirmed its 2026 organic growth target of 3% to 4%, against a 3.5% consensus, and expects faster real internal growth than in 2025. In Russia, a presidential decree placed the business under temporary external administration in September; Nestlé remains the legal owner but no longer controls it. Russia contributed about 2% of sales and 3% to 4% of underlying operating profit and free cash flow. Net assets of about CHF 1.6bn are derecognised, a non-cash charge of about CHF 1.4bn is booked for currency translation with no effect on equity, and year-end net debt rises by about CHF 0.9bn. US tariff refunds are excluded from the outlook.

Valuation: a recovery still priced below its average

Chart 2 · NESN: share price vs. consensus earnings and valuation

NESN SW Equity, weekly from January 2006 · BEst 12m-forward consensus · 40-week simple MA · log scale · P/E shaded above (orange) / below (blue) its 2006 to 2026 average · last price CHF 84.97 on 22 October, after the release



Over 12 months the share price has risen 3.8%, exactly in line with 12m-forward EPS (+3.8%): the rerating has not started. The multiple stands at 19.1x, 2.8% below its 19.7x average since 2006, against a one-year average of 18.1x and a 28.5x peak in December 2021. The price sits 7% above its 40-week moving average (CHF 79.4) after a 12% rise in two weeks, which leaves room for profit-taking. Forward EPS of CHF 4.45 is still 14% below its January 2024 peak: the average multiple is within reach; a return towards the 21.7x average since 2016 requires earnings delivery.

SYZ Source: Syz Research, Bloomberg, Nestlé third-quarter and nine-month 2026 sales release (22 October 2026), StreetAccount, consensus · As of 22 Oct 2026

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